GMS WEEKLY

Your Source for Recycling News

May 21st 2022
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Week 21

Highlights:

- **Fully fledged fall.**
- **Games commence.**
- **Avoid scrapping.**
- **Fundamental fall.**
- **Turkish uncertainty.**
- **Bleak summer.**

QUOTE of the WEEK

"He is a wise man who does not grieve for the things which he has not, but rejoices for those which he has."

– Epictetus

MARKET COMMENTARY

COLLAPSE!

The ongoing sub-continent collapse in prices fully materialized this week, with all sectors talking down the market and refusing to offer anew on any fresh tonnage whilst they wait for markets to stabilize. As the Ukraine conflict endures, fundamentals continue their collapse at all of the major recycling destinations, as plate prices take turns to precipitously plummet (in India this week) and a combination of the two have likewise afflicted Bangladesh.

A global currency meltdown at the major recycling destinations has also been unfolding, with records being shattered at their new lows against the U.S. Dollar. In fact, depreciating currencies have been one of the primary drivers aggravating this recent collapse. The Lira is once again approaching its recent low of TRY 18 and in Pakistan, the PKR has come off by over 3% against the U.S. Dollar over the last 2 weeks alone.

Unfortunately, this unfolding global economic crisis is increasingly resulting in the usual games at the waterfront, as End Buyers refuse to perform or are finding the most frivolous of reasons to abandon deals with the sole intent to talk down the price. As such, a period of frustration in ensuring deliveries are completed, is likely to ensue.

Any Owners therefore seeking offers on fresh units would be well advised to steer clear of the markets for now, as there is likely to be some opportunistic offering that is not reflective of today's market pricing and it would be far better to let markets and prices see at least a couple of weeks of stability before parties meet at the bidding tables once again.

The Turkish market has shown some minor improvement in local steel plate prices, but import steel continues to take a beating, resulting in growing confusion amongst Aliaga Buyers, especially while the Lira is taking a beating and is gradually approaching it's all time record-low against the U.S. Dollar. Bangladeshi Buyers are also waiting for their budget announcement (due in the first week of June) to see if any new taxes may be applicable on the industry.

As such, it is likely to be a far bleaker summer / monsoon season ahead as End Buyers, Cash Buyers and Owners, all grapple with these new realities on prices, some USD 100/LDT below their peak.

For week 21 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	India	Weakening	620 / LDT	630 / LDT	640 / LDT
2	Bangladesh	Weakening	610 / LDT	620 / LDT	630 / LDT
3	Pakistan	Weakening	600 / LDT	610 / LDT	620 / LDT
4	Turkey	Weakening	310 / LDT	320 / LDT	330 / LDT

BANGLADESH

ROTTEN WEEK!

Few offers.

After the recent peaks seen well above USD 700/LDT earlier this year, Bangladesh has endured another troubling week with very few offers seen forthcoming of late, as End Buyers follow a market all the way down to the low USD 600s/LDT.

The one saving grace appears to be that freight markets do remain positively poised and there are far fewer recycling candidates available for sale (when compared with recent years) as all wet, dry, and container chartering sectors display strength in unison at present.

Projects halted.

Due to the higher overall steel plate prices seen earlier this year, a lot of the domestic construction projects have been halted in Bangladesh, with constructors defaulting and reportedly renegotiating contracts due to soaring rates.

Of late however, local steel plate prices haven't been helping much, with levels reportedly jumping nearly USD 50/Ton by mid-week and back down nearly USD 35/Ton as the week ended, in an exemplary display of volatility from an otherwise (relatively) stable market.

Banks are also imposing higher L/C margins making it increasingly difficult to find workable L/Cs for some of these larger and more expensive vessels. As such, Chattogram Buyers look forward to a quieter time on the side lines, with monsoon otherwise only furthering this market's lethargic performance.

NO MARKET SALES REPORTED

INDIA

TURNING SOUR!

As with competing sub-continent markets, India too has tumbled back down to the low USD 600s/LDT in sharp and dramatic declines over the last few weeks.

Sharp fast falls.

The chief culprit has been a voraciously deteriorating steel plate price, with levels plummeting almost USD 75/LDT over the last week alone, over and above an additional USD 100/LDT decline since the peaks seen over a month ago.

The currency too has been struggling as it gradually approaches an all-time low against the U.S. Dollar at Rs. 78. Thankfully, it remains suspended in the Rs. 76s as the week ended and after severe depreciations throughout 2022 so far.

Market turn.

Rather ironic considering Alang would have been a ship recycling sector that once looked so bullish at the start of 2022 but is now starting turn rather sour.

NO MARKET SALES REPORTED

PAKISTAN

POINTLESS!

Currency collapse.

Pakistan has endured one of the sharpest and most shocking of all sub-continent collapses, with the Pakistani Rupee depreciating by an overall 20% so far this year and to a record-low against the Dollar as levels surpassed PRK 200.

This has led to some truly abominable performances by Gadani Buyers of late, as some are attempting to completely abandon their commitments by walking away from their deals, whilst others are brazenly and wilfully renegotiating levels for absolutely no reason whatsoever.

Tarnished.

As a result, Gadani Recyclers are severely tarnishing their reputations and it seems rather unlikely that any Ship Owner or Cash Buyer will be willing to bring their respective units to a market where a renegotiation in the near future seems imminent and regrettable, given that the value of a commitment or even contract is worth less than the paper it is printed on.

NO MARKET SALES REPORTED

TURKEY

TLRYING TIMES!

Just like the all of the major global ship recycling destinations, Turkey continues to exhibit similar characteristics as its sub-continent competitors.

Similar behaviours.

While the Lira continues to devalue against the U.S. Dollar (as it surpasses TRY 16.0 and even briefly approached TRY 16.40 by mid-week), import steel registered another USD 10/MT drop during the course of the week.

Moreover, as the global shortage of recycling candidates continues to affect all markets (including Turkey), there remains little hope of any noteworthy units being committed to Aliaga Buyers.

Little hope.

NO MARKET SALES REPORTED

AMAZING FACTS

- *Human beings can use only a small fraction of Earth's water.*
- *Wally Amos is responsible for making more than just cookies famous.*
- *The brand name Spam is a combination of "spice" and "ham".*
- *It takes a drop of water 90 days to travel the entire Mississippi River.*
- *People once ate arsenic to improve their skin.*
- *The first person processed at Ellis Island was a 15-year-old girl from Ireland called Annie Moore.*
- *Japan has one vending machine for every 40 people.*
- *Lemons float, but limes sink.*
- *Professional athletes used to perform in vaudeville during the off-season.*
- *The first time the word "period" was used on TV in reference to menstruation was 1985.*
- *McDonald's once made bubblegum-flavored broccoli.*
- *Some fungi create zombies, then control their minds.*
- *The first oranges weren't orange.*
- *There's only one letter that doesn't appear in any U.S. state name. You'll find a Z (Arizona), a J (New Jersey), and even two X's (New Mexico and Texas)—but not a single Q.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
No holidays in June	May 27 – June 04 June 11 – June 20 June 25 – July 04

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
No holidays in June	May 29 – June 01 June 13 – June 16 June 29 – July 02

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
June 03 – June 05 – Dragon Boat Festival	**No holidays in June**	**No holidays in June**

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ALANG - Port Position as of May 27, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Camilla D	5,130	Roro	Arrived May 18
2	Dahlia	33,141	LNG Tanker	Arrived May 26
3	Emerald 1	2,133	Supply Vessel	Arrived May 09
4	Infinity 1	1,246	Oil Tanker	Arrived May 13
5	*Pembroke (Under Tow)*	*1,083*	*Bulk Carrier*	*Beached May 21*
6	*Rick*	*8,761*	*Oil Tanker*	*Beached May 21*
7	*Sonangol Luanda*	*23,192*	*Oil Tanker*	*Beached May 26*
Total Tonnage		**74,685**		

CHATTOGRAM - Port Position as of May 27, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ang 1	2,997	Offshore Tug	Arrived May 07
2	**Basundhara - 8**	**7,782**	**Bulk Carrier**	**Arrived March 20**
3	*Berkah 36*	*6,558*	*Bulk Carrier*	*Beached May 21*
4	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
5	*Global Mariner*	*4,010*	*Reefer*	*Beached May 19*
6	*Lucas 7*	*1,825*	*Tanker*	*Beached May 18*
7	Sea Matrix	1,357	Tanker	Arrived May 21
8	Sonangol Girassol	23,312	Tanker	Arrived May 24
9	Tain Ning	2,055	Reefer	Arrived May 24
10	*Venus 20*	*685*	*Tanker*	*Beached May 18*
Total Tonnage		**67,467**		

GADANI - Port Position as of May 27, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Eagle II	2,000	Tanker	Arrived May 25
2	Ghavar	500	Tug	Arrived May 25
3	*Saavi*	*22,349*	*Tanker*	*Beached May 25*
4	Sep 350	4,126	Drilling Rig	Arrived May 25
5	*Sun Beam*	*21,000*	*Bulk Carrier*	*Beached May 20*
Total Tonnage		**49,975**		

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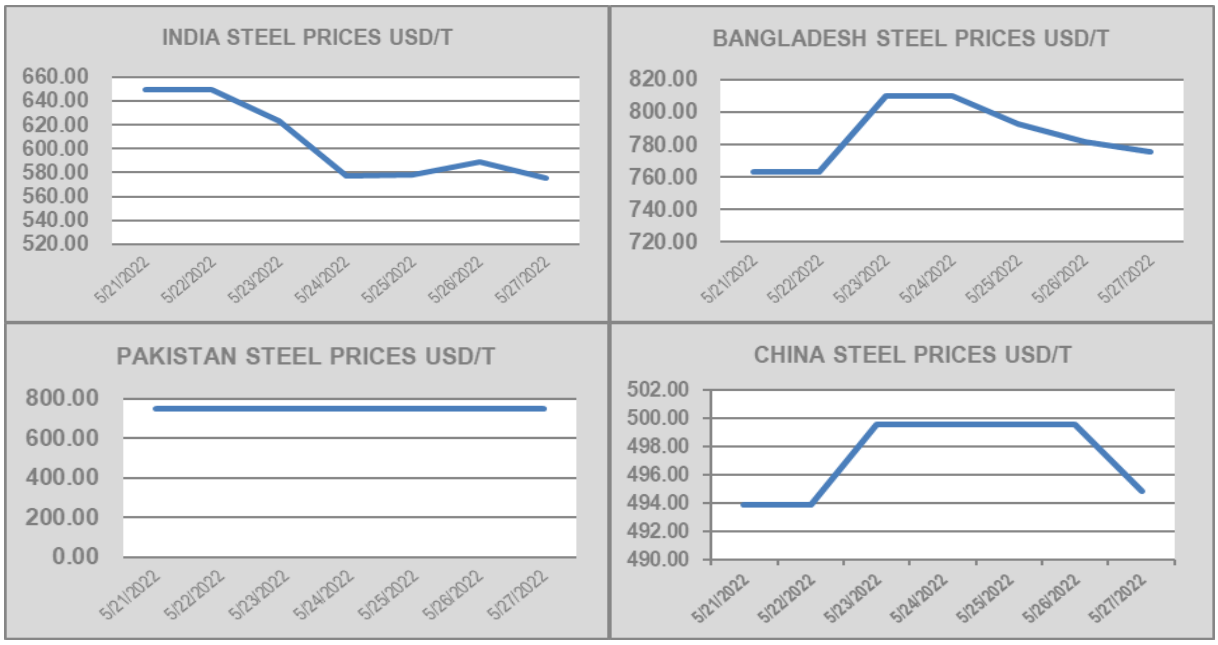
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
5/21/2022	649.90	50,400.00	753.12	151,000.00	762.91	65,000.00	493.90
5/22/2022	649.90	50,400.00	753.12	151,000.00	762.91	65,000.00	493.90
5/23/2022	623.15	48,300.00	753.12	151,000.00	809.86	69,000.00	499.58
5/24/2022	577.47	44,800.00	753.12	151,000.00	809.86	69,000.00	499.58
5/25/2022	577.92	44,800.00	753.12	151,000.00	793.10	69,000.00	499.58
5/26/2022	589.07	45,700.00	753.12	151,000.00	781.61	68,000.00	499.58
5/27/2022	575.66	44,700.00	753.12	151,000.00	775.86	67,500.00	494.90



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